

DOCUMENT 4 OF 7 - SBG TERM SHEET

SBG Construction Group Term Sheet

Shared-Services / Captive-Labor Structure (Slogar, Barton, Garcia)

Prepared: 2026-06-17 **Prepared by:** AI legal/compliance counsel for Central Wisconsin Deck Builders, LLC (Jim Slogar) **Status:** DRAFT term sheet for partner alignment. Not a binding contract.

READ THIS FIRST. This document is a plain-language term sheet for the structure the three partners decided on at the 2026-06-17 partner meeting. Its job is to get Jim, Ben, and John to a shared "yes" on the deal BEFORE money is spent on a Wisconsin business attorney. It is a negotiating map, not a signed deal. Nothing here binds anyone until the real entity documents (operating agreements for the SBG entities and the three inter-company agreements) are drafted by a licensed Wisconsin attorney and signed. See the full disclaimer at the bottom. Where a number, name, or threshold appears, treat it as a recommended starting point for discussion, not a final term.

0. The plain-English summary (read this to the table)

We are NOT merging the three businesses yet. Each of the three existing LLCs (Jim's Central Wisconsin Deck Builders, LLC, Ben's Barton Builders LLC, John's John Garcia Construction LLC) stays alive, signs its own jobs, pulls its own permits, carries its own insurance, and keeps its own job profit. What we ARE building together is a shared back office called SBG Construction Group. SBG owns the crews and the equipment (and later, real estate) and rents them to the three LLCs at fair market prices. We each own one third of SBG, funded with equal cash. SBG keeps its profit and reinvests it in Phase A instead of paying it out. Each of us keeps our own customers and lead sources; SBG does not market or own customer relationships. Any prior lead-sharing arrangement among us is being wound down. Each of us becomes a real W-2 employee of SBG for the hours we actually work.

This is Phase A. Phase B, one to two years out, is the true merger where job profit finally pools and splits one third each. We are deciding the Phase B trigger and valuation method NOW, in calm times, so the merger is a planned move and not a fight.

1. The entities and who owns them

There are three new sibling entities (the "SBG entities"), plus the three existing operating LLCs that stay exactly as they are.

1.1 The three existing operating LLCs (unchanged, customer-facing)

Central Wisconsin Deck Builders, LLC	Jim Slogar	Stays independent. Signs its own jobs, pulls its own permits under its own Dwelling Contractor Certification + Qualifier, carries its own GL, keeps its own job profit, customers, and brand.
Barton Builders LLC	Ben Barton	Stays independent. Same: own jobs, own permits, own certification + qualifier, own GL, own job profit.

John Garcia Construction LLC	John Garcia	Stays independent. Same: own jobs, own permits, own certification + qualifier, own GL, own job profit.
------------------------------	-------------	--

Each operating LLC is the real contractor to its homeowners. The customer contracts with the LLC, the LLC's Qualifier directs the work, the LLC pulls the permit, the LLC's GL covers the job, and the LLC keeps the job margin. Nothing about that changes in Phase A.

1.2 The three new SBG entities (the shared-services group)

SBG-Labor, LLC (placeholder name)	Employs the W-2 crews AND the three partners. Leases labor to the three operating LLCs at market rates.	Jim, Ben, John as INDIVIDUALS, 1/3 each	Equal cash
SBG-Equipment, LLC (placeholder name)	Owns equipment (bought with equal cash). Leases it to the three operating LLCs at market rates.	Jim, Ben, John as INDIVIDUALS, 1/3 each	Equal cash
SBG-RealEstate, LLC (placeholder name)	Will own a future shop/yard/facility. Formed now but DORMANT. No facility purchased yet.	Jim, Ben, John as INDIVIDUALS, 1/3 each	Equal cash when activated

Entity type (each SBG entity)	Wisconsin multi-member limited liability company (Wis. Stat. Ch. 183, the 2023 revised LLC act)
Tax treatment	See note below. Accounting is recommending S-corp tax treatment for SBG-Labor so the partners can be true W-2 employees. Confirm with the accounting side; this term sheet does not re-derive the tax.
Principal office	Marathon County, Wisconsin (Wausau area)
Governing law	State of Wisconsin
Jurisdiction / venue	Marathon County, Wisconsin

OWNERSHIP IS AT THE INDIVIDUAL LEVEL. FLAG FOR ATTORNEY. The partners decided the three SBG entities are owned **one third each by the three individuals (Jim, Ben, John) directly**, not by their operating LLCs. Direct individual ownership is simpler and keeps each person's SBG stake out of their operating LLC's liability pool, but it also means a partner's personal creditors, divorce, or estate reach the SBG stake directly with no LLC buffer. **The attorney must confirm whether individual ownership or holding-LLC ownership better fits the partners' liability and estate goals, and the buy-sell in Section 7 is drafted to cover whichever is chosen.** Assumption used throughout this draft: individual ownership, per the meeting decision.

PLACEHOLDER NAMES / TO-DO. "SBG-Labor, LLC," "SBG-Equipment, LLC," and "SBG-RealEstate, LLC" have NOT been checked for availability with the Wisconsin Department of Financial Institutions (WI DFI). Before formation, run a name search at WI DFI for each, confirm availability and no confusing similarity to existing entities or trademarks, and reserve as needed. Confirm the "SBG" mark does not collide with the "Central Wisconsin Deck Builders" brand, which stays Jim's.

2. Capital contributions (what each partner puts in)

Capital into the SBG entities is plain **equal cash**. There is no "deemed equal" treatment of equipment, backlog, and brand, and no contribute-versus-license-the-brand analysis.

2.1 The rule: equal cash

Each of the three partners contributes the **same dollar amount of cash** into each SBG entity. Equal cash in produces clean 1/3-1/3-1/3 ownership with no valuation argument. This is deliberately simple because the hard valuation question (the three unequal operating LLCs) is pushed to Phase B (Section 13), where it belongs.

SBG-Labor	Equal cash from each partner (working capital to make payroll before lease revenue arrives)	1/3 each
SBG-Equipment	Equal cash from each partner (the buying power to acquire shared equipment)	1/3 each
SBG-RealEstate	Equal cash when activated for a facility purchase (dormant until then)	1/3 each

2.2 Equipment a partner sells IN is a sale, not a contribution

If a partner wants SBG-Equipment to own a piece of equipment they currently hold, SBG-Equipment **buys it at fair market value** in an arm's-length sale (cash or a documented note), it is not folded in as capital. This keeps contributions purely equal cash and avoids any "is the financed truck really worth what you say" problem. Any such purchase must be documented (invoice, FMV support, lien check) and disclosed to the other two partners (see the due-diligence checklist, Part A).

2.3 Future capital calls

No partner can be forced to put in more money unless the major-decision rules (Section 5) approve a capital call. If a capital call is approved and a partner does not fund their share, the operating agreement should provide a defined consequence agreed up front (for example, the funding partners cover the gap as a documented loan to the entity at a stated interest rate, or the non-funding partner is diluted under a fair formula). No surprise dilution.

3. The three inter-company agreements (the operational heart of Phase A)

This is what actually makes Phase A work. Because the SBG entities and the operating LLCs are commonly owned but legally separate, every dollar that moves between them has to ride on a written, market-priced agreement. These three agreements are not paperwork for its own sake. They are what (a) lets each LLC keep clean books and a real cost of goods, (b) protects everyone's liability shield against a veil-piercing argument, and (c) keeps the relationships defensible to the IRS, the Wisconsin DOR, an insurer, and a future buyer.

The three agreements are drafted in detail in the companion file `inter-company-agreements.md` (same folder). In summary:

1. **Labor / staffing agreement** (SBG-Labor leases crews and partner-labor to each operating LLC at market rates).
2. **Equipment lease** (SBG-Equipment leases tools/vehicles/equipment to each operating LLC at market rates, with the Wisconsin sales tax on the rental handled explicitly).
3. **Workers' comp / borrowed-servant coordination** (so a leased worker injured on an LLC's job cannot turn around and sue that LLC, because the LLC is a "special employer" protected by SBG-Labor's comp coverage).

Related-party agreements MUST be written and market-priced. Between commonly owned entities, an undocumented or below-market arrangement is the single fastest way to (a) hand the IRS or the Wisconsin DOR a reallocation argument and (b) hand a plaintiff a veil-piercing argument that "these were never really separate companies." Market pricing and real paper are not optional formalities; they are the structure's load-bearing wall.

4. Each partner keeps their own customers, brand, and lead sources

Each operating LLC keeps its own customers, its own brand, and its own way of generating work. None of it is contributed or licensed to SBG. SBG does not market, does not generate leads, and does not own any customer relationship; it only supplies labor and equipment, and it is indifferent to where each LLC's work comes from.

- **Pre-existing marketing and brand stay with the owning LLC.** Each partner's website, brand name, customer lists, and marketing assets remain that LLC's property, not SBG's. This includes the "Central Wisconsin Deck Builders" name and domain, which remain Jim's LLC's, on the same footing as each other partner's own brand and customer base.
- **Each LLC keeps the work it generates.** The leads and jobs an LLC brings in flow to that LLC in Phase A. Each partner runs their own customer acquisition.
- **Any prior lead-sharing arrangement among the partners is wound down.** The earlier arrangement under which CWDB sold leads to Ben and John is closed out and documented (final accounting, written termination) so there is no dangling conflict with the new SBG relationships. See the due-diligence checklist (Part A).
- **Assets a partner later brings into the merged pool are valued at Phase B,** as part of the equalization in Section 13, not now. Phase A keeps each partner's own assets with their own LLC.

5. Major decisions (governance of the SBG entities)

The SBG entities are jointly owned 1/3 each, so they need deadlock-proofing to govern the shared-services group and the shared crews. Each partner gets one equal vote in each SBG entity.

5.1 Governance lanes

The lanes describe **how SBG and the shared crews are run.** Each operating LLC still runs itself; these lanes govern the shared back office.

Sales / Marketing / Finance	Jim Slogar	SBG bookkeeping, payroll administration, inter-company invoicing and collections, financial reporting, banking, tax coordination for the SBG entities, and equipment/rental rate-setting within policy. (Jim's own LLC still owns all lead-gen; that is not an SBG lane.)
Customer Service / Estimating / Scheduling	John Garcia	Coordinating crew scheduling across the LLCs' jobs so the shared crews are allocated fairly, and the estimating standards SBG's labor is priced against.
Field Operations	Ben Barton	The shared W-2 crews, subcontractors, shared equipment, jobsite execution standards, quality, and safety for SBG-supplied labor and gear.

Day-to-day inside a lane: the lane owner acts without a vote up to defined dollar and policy limits (for example, Jim runs SBG payroll and invoicing; Ben hires a crew member within the approved headcount/budget; John sets the weekly crew allocation). This is what keeps a three-owner shared-services group functional instead of voting on everything.

The guardrail: lane authority is bounded by the approved SBG budget and the major-decision list below. "It's my lane" cannot commit SBG to big debt, a hire above threshold, or a purchase above the cap.

Finance-concentration safeguard: Jim again holds finance for the SBG entities, which concentrates money and information. Same mitigation as before, applied to SBG: all three partners have at least full real-time view access to SBG's bank and credit accounts; monthly SBG financials go to all three (Section 11); spending above the cap needs sign-off; and an independent CPA/bookkeeper reviews SBG's books at least annually (Jim is a CPA, but outside eyes also protect Jim from any "you cooked the books" claim).

5.2 Supermajority (at least 2 of 3 partners must approve)

Applied within each SBG entity:

- Approving the annual SBG budget and any material change to it.
- SBG incurring debt, loans, or lines of credit above **\$25,000** (single or cumulative in a rolling 12 months).
- Capital calls.
- SBG-Equipment buying, selling, or financing equipment above **\$15,000**.
- Setting or materially changing the **lease/labor rates** SBG charges the operating LLCs (note: these must stay at market, Section 3; a vote cannot make them non-market without creating tax and veil risk).
- Hiring any SBG W-2 employee above total annual compensation of **\$60,000**, or any salaried management hire.
- Setting or changing SBG's partner-compensation policy (the W-2 wages the partners draw for hours worked, Section 9).

5.3 Unanimous (all 3 partners must approve)

Applied within each SBG entity:

- Admitting a new owner / issuing new units / changing the 1/3-1/3-1/3 split of any SBG entity.
- Selling an SBG entity, merging it, or selling substantially all its assets.
- **Activating SBG-RealEstate and purchasing a facility** (a large capital commitment; everyone must agree).
- Dissolving or winding up any SBG entity.
- Amending any SBG operating agreement.
- SBG taking on debt above **\$100,000** or pledging SBG assets as collateral above that level.
- Changing an SBG entity's tax classification or major tax elections (for example, the S-corp election for SBG-Labor) that affect all owners.
- **Triggering the Phase B transition to a true merger** (Section 13).

Dollar thresholds are starting points. Tune them with the attorney and CPA to where the partners are genuinely comfortable letting a lane owner act alone.

Conflict-of-interest rule. Any time a decision is between an SBG entity and a partner's own operating LLC (most importantly the labor and equipment lease rates, since the partners sit on both sides of those agreements), the interested partner discloses and the disinterested partners confirm the term is at arm's-length market. This keeps the related-party pricing clean and is doubly important because Jim controls SBG finance.

6. Deadlock resolution (the 1-1-1 problem)

Three equal owners can deadlock. Without a defined way out, the shared-services group freezes and the operating LLCs lose their crews and equipment overnight. This section is a hard requirement.

6.1 Most deadlocks should never happen

The lane structure (Section 5.1) already routes day-to-day calls to a single lane owner. Deadlock rules only fire on **major decisions** (Section 5.2 and 5.3), which is a deliberately short list.

6.2 The escalation ladder

1. **Cooling-off + written positions (5 business days).** Each partner puts their position in writing.
2. **Facilitated business meeting.** A mandatory sit-down of all three, optionally with the outside CPA/advisor in the room.
3. **Mediation (non-binding).** A neutral mediator in Marathon County, cost split equally. Most disputes die here.
4. **Tiebreak / buy-sell trigger (the real backstop).** If mediation fails on a major decision after a defined window (for example, 30 days), one pre-agreed mechanism applies. Pick ONE in the operating agreements:
 - **Option 1 (recommended for an operating deadlock): named tiebreak advisor.** A neutral third party agreed in advance (a respected local construction-industry advisor, the outside CPA, or a single arbitrator) casts the deciding vote on the specific operating question. Fast, cheap, keeps the group whole. Best where the fight is "should SBG do X."
 - **Option 2 (for an irreconcilable ownership-level deadlock): buy-sell shotgun / exit trigger.** A prolonged unresolved deadlock becomes a buy-sell trigger (Section 7): one partner offers to buy the others (or be bought) at a price they name, with the others able to flip it. Guarantees the group does not stay frozen. Last resort, because it can force an exit.

RECOMMENDATION: Adopt both: **named tiebreak advisor for operating deadlocks, buy-sell trigger reserved for the rare existential deadlock.** An ordinary "we disagree about a crew hire" gets decided cheaply; a true partnership breakup has a clean, pre-agreed off-ramp.

7. Buy-sell, transfer restrictions, and right of first refusal

Each partner's 1/3 stake in each SBG entity needs a buy-sell. The point: nobody can sell to a stranger, dump their stake, or trap the others, and there is always a defined price.

7.1 Transfer lock + right of first refusal (ROFR)

- A partner may not sell, assign, pledge, or transfer their units in any SBG entity (or admit a new owner) without first offering them to the other two on the same terms (ROFR).
- The remaining partners may buy pro rata (or as they agree). Only if they decline within a set window (for example, 30 days) may the seller proceed with a bona fide third-party sale on terms no better than offered, and even then the buyer takes a non-voting economic interest unless admitted as a full owner (a unanimous decision, Section 5.3).
- **Keep the three SBG entities tied together:** the operating agreements should provide that a partner cannot sell their SBG-Labor stake while keeping SBG-Equipment (or vice versa). The three SBG stakes transfer as a single bundle so ownership stays aligned across the group.

7.2 Trigger events that start a buyout

For each, the entity and/or the other partners get the right (and sometimes the obligation) to buy the affected interest at the Section 7.4 valuation.

Voluntary exit	Exiting partner offers their SBG stakes to the others first (ROFR). Buyout at the formula, on installment terms (Section 7.5). Non-compete/non-solicit (Section 8) kicks in. Their operating LLC's labor and equipment leases from SBG terminate on a wind-down schedule so the exit does not strand the other two.
Death	The deceased's SBG stakes are bought from the estate at the formula, ideally funded by life insurance the entities carry on each partner (recommended). Prevents an heir or spouse becoming an unwanted co-owner.
Disability (defined; for example, unable to perform their lane for 180 days in any 12 months)	Buyout right at the formula, ideally funded by disability buy-out insurance.
Bankruptcy / personal insolvency of a partner	Mandatory buyout right so a creditor or trustee cannot seize a seat. This is sharper here because ownership is at the individual level (Section 1.2 flag): a partner's personal bankruptcy reaches the SBG stake directly with no LLC buffer.
Material breach / for-cause removal (fraud, theft, loss of a license the GROUP depends on, conviction, abandoning the lane)	Buyout right, potentially at a discounted "for-cause" valuation, plus removal from SBG management.
Change of control of a partner's interest (see Section 7.3)	Treated as an attempted transfer, triggering the ROFR and buyout rights.

7.3 The change-of-control trap

Because the partners decided to own SBG individually (Section 1.2 flag), the classic holding-LLC back door is mostly closed, but two related traps remain and the agreements must close them:

- **If the attorney instead recommends holding-LLC ownership**, then this rule applies: any change of control of a partner's holding LLC is deemed an attempted transfer of the SBG interest, triggering ROFR and buyout, and each holding LLC covenants not to change its own control without first complying.
- **Even with individual ownership**, the agreements must address what happens if a partner transfers their interest into a trust, a new single-member LLC, or a similar vehicle. Permit estate-planning transfers to a partner-controlled vehicle, but provide that any later change of control of that vehicle re-triggers the ROFR and buyout. This keeps the deal between Jim, Ben, and John (and their estates on agreed terms), not whoever they might later route ownership to.

7.4 Valuation formula

Agree the method now, in calm times. For the SBG entities specifically:

- **SBG-Labor and SBG-RealEstate are mostly net-asset stories** (SBG-Labor: working capital and any reinvested profit; SBG-RealEstate: the facility at appraised value minus debt). A net-asset-value approach is usually cleanest for these.
- **SBG-Equipment is net asset value** (fair market value of the equipment minus debt). Because Jim is a CPA, SBG can keep a current equipment schedule that feeds this directly.
- **Annual reset (recommended)**: the partners agree an updated value for each SBG entity once a year in the minutes; the most recent agreed value governs a buyout.
- **Fallback**: an independent appraiser if no current agreed value exists or the formula is disputed.
- **For-cause discount**: triggers involving fraud/theft/breach may apply a stated discount.
- **Note on Phase A vs Phase B value**: in Phase A, SBG holds no job profit and no goodwill from the operating LLCs (that profit is siloed in each LLC). So an SBG buyout is modest and asset-based. The big-money valuation question (the goodwill and earnings of the three operating businesses) only arrives at the Phase B merger and is handled there

(Section 13).

7.5 Payment terms on a buyout

Allow the price to be paid over time so a buyout does not bankrupt the entity or the buyers: for example a modest down payment with the balance on a **promissory note over 36 to 60 months at a stated interest rate**, secured appropriately. Insurance-funded buyouts (death/disability) pay in cash from the policy.

8. Non-compete and non-solicit

Wisconsin enforces restrictive covenants only if **reasonable in time, territory, and scope** and supported by consideration (Wis. Stat. 103.465; Wisconsin courts void an overbroad covenant ENTIRELY rather than narrow it, so these must be drafted tight).

Non-compete	While a partner, and for 12 to 24 months after exit, do not own or operate a competing labor/equipment shared-services operation that serves the same Marathon-County-area trade businesses SBG serves. Keep the radius and term tight. Note: the operating LLCs themselves are NOT in competition with each other or with SBG (each runs its own trade business by design), so this covenant is narrower than a full-merger non-compete would be. It protects SBG's shared-services niche, not each partner's right to keep running their own deck business.
Customer non-solicit	SBG has no homeowner customers (its customers are the three operating LLCs). The meaningful non-solicit here is the anti-poaching covenant below . A light customer non-solicit can still bar a departing partner from soliciting the OTHER partners' operating LLCs to leave SBG for a competing shared-services arrangement.
Employee / crew non-solicit (ANTI-POACHING, the critical one)	During membership and for 24 months after exit, do not solicit or hire away SBG-Labor's W-2 crews . This is the single most important covenant in this structure, because the crews are SBG's whole reason to exist and they are W-2 employees of SBG-Labor specifically. A departing partner who could walk the crews out the door would gut SBG and cripple the other two partners' operating LLCs overnight. Bind both the partner and, where enforceable, restrict the crews' own movement via their employment terms.
Confidentiality	Perpetual for trade secrets (SBG's pricing/rate models, crew rosters and pay, equipment economics, SBG financials, and each partner's own customer and marketing data, which stays that partner's and is never SBG's to disclose). Survives exit.

Each partner runs a separate trade business by design, so the covenants must NOT bar a partner from continuing to operate their own operating LLC. The line to draw is narrow: a partner may keep building decks through their own LLC, but may not stand up a competing shared-labor/equipment group and pull SBG's crews into it.

9. Compensation: equity vs. pay-for-work (the W-2 change)

This section reflects the decision that **each partner is a W-2 employee of SBG-Labor for hours worked**.

- **Each partner is a W-2 employee of SBG-Labor.** For the hours a partner actually works on jobs (their own LLC's jobs or another LLC's, supplied through the labor lease), they are paid a market wage by SBG-Labor as a real employee, with payroll taxes withheld. This is the mechanism that makes the S-corp treatment work (the accounting

side is driving that; this term sheet does not re-derive the tax) and that lets SBG-Labor's wage cost be a clean, market-priced input to the labor lease (Section 3).

- **Equity governs the residual, but in Phase A there is no 1/3 distribution.** The 1/3-1/3-1/3 ownership of each SBG entity entitles each partner to a third of that entity's residual value. **However, the partners decided SBG REINVESTS its Phase A profit rather than distributing it** (Section 10). So in Phase A, a partner's cash from SBG comes through their W-2 wages for work, not through owner distributions.
- **Job profit stays in each operating LLC.** Separately and importantly, the profit on each job stays with the operating LLC that signed it. A partner whose LLC books more or more-profitable work keeps that upside in their own LLC in Phase A. Pooling that job profit one third each is precisely what Phase B does (Section 13), and is why Phase B needs an equalization step (the three LLCs are unequal).

10. Distributions, reinvestment, and tax

Phase A distribution policy: REINVEST, do not distribute.	The partners decided SBG bills the operating LLCs at market and reinvests its profit in Phase A (building working capital, buying more equipment, funding the eventual facility) rather than paying a 1/3 owner distribution. This is a deliberate growth choice for the first one to two years.
Mandatory tax distributions (still required).	Even while reinvesting, if an SBG entity is taxed as a pass-through (partnership or S-corp), each partner still owes tax on their share of that entity's taxable income whether or not cash is paid out. The operating agreements must require each SBG entity to distribute, at least quarterly, enough cash to cover the estimated tax on each partner's allocated share, at an assumed combined federal + Wisconsin rate. This prevents a partner getting a tax bill on phantom income. The S-corp election for SBG-Labor changes the mechanics (wages vs. pass-through profit); coordinate the exact tax-distribution math with the accounting side.
Reserves.	Each SBG entity maintains a working-capital and contingency reserve before any discretionary use of cash.

The reinvest-don't-distribute decision is a Phase A feature, not forever. When the partners move to Phase B (Section 13), the distribution policy is one of the things that gets re-set as part of the merger.

11. Books, records, and financial transparency

Because SBG finance sits with Jim, every partner gets enforceable visibility (this protects the other two AND protects Jim from suspicion).

- **Monthly financial statements** for each SBG entity (P&L, balance sheet, cash position, and an inter-company schedule showing the labor and equipment billings to each operating LLC) delivered to all three partners.
- **Open-book access:** any partner may inspect each SBG entity's complete books, bank statements, inter-company invoices, and records at any reasonable time (also a default member right under Wis. Stat. Ch. 183, made explicit).
- **Bank visibility:** all partners have at least view access to SBG operating and credit accounts; large transfers require sign-off per Section 5.
- **Inter-company documentation file:** keep every labor invoice, equipment-lease invoice, and rate schedule (Section 3). This is the paper trail that proves the related-party pricing is at market, which both the IRS/DOR and a

veil-piercing defense depend on.

- **Annual outside review:** an independent CPA or bookkeeper reviews each SBG entity's books at least annually.
- **Annual agreed valuation** for each SBG entity recorded in the minutes (feeds the buy-sell, Section 7.4).
- **Records retention:** keep SBG financial records, inter-company agreements and invoices, payroll/WC records, and equipment records at least 6 years (Wisconsin contract limitation and tax/payroll exposure).

12. Dispute resolution

- **Step 1:** good-faith negotiation among the partners.
- **Step 2:** mediation in Marathon County, Wisconsin, cost shared equally.
- **Step 3:** binding arbitration in Marathon County under Wisconsin law (or litigation in Marathon County Circuit Court; partners to choose).
- **Governing law:** State of Wisconsin. **Venue:** Marathon County, Wisconsin.
- The deadlock ladder (Section 6) governs MAJOR-DECISION deadlocks specifically; this Section 12 governs disputes about rights, breaches, and interpretation.

13. PHASE B TRANSITION: from shared-services co-op to true merger

This is the most important forward-looking section. Phase A keeps job profit siloed in each LLC. Phase B is the true merger where job profit finally **pools and splits one third each**. The partners decided to define the mechanism NOW, in calm times, even though Phase B is one to two years out, so the merger is a planned event and not a fight. Deciding it later, when the three businesses have drifted further apart in value, is exactly how this kind of transition turns into a lawsuit.

13.1 The trigger to move from co-op to merger

Pick a defined, objective trigger (any one, or a vote, set with the attorney/CPA):

- A defined period of successful shared operation (for example, 18 to 24 months of SBG running smoothly and profitably).
- The partners' confidence that the relationship is proven (a unanimous Section 5.3 vote to enter Phase B is the cleanest single trigger).
- A business event that makes pooling obviously better (a large bonding requirement, a big shared facility purchase, an outside-buyer conversation that requires one combined company).

Recommendation: make Phase B entry a **unanimous decision** (it changes everyone's economics), but write the valuation and equalization METHOD now so that, once everyone says go, there is no second negotiation over how the pool is built.

13.2 Valuation and equalization of the three unequal LLCs

The three operating LLCs are NOT equal in value (different backlog, profit, equipment, and customer base). When job profit starts pooling one third each, a partner with a more valuable LLC is handing more into the pool than a partner with a smaller one. Equalize for that, or the merger is unfair on day one.

- **Value each operating LLC at the Phase B date** using an agreed method (a multiple of trailing-12-month EBITDA or seller's discretionary earnings plus net tangible assets minus debt, with the multiple agreed now; construction-service businesses commonly trade in a modest single-digit range; set the number with the CPA). This is the heavy backlog-and-goodwill valuation that Phase A deliberately deferred (see the due-diligence checklist).

- **Equalize the difference** by one of: (a) a cash or note **true-up payment** from the partners with smaller LLCs to those with larger ones, (b) **adjusted equity** in the merged entity (unequal opening capital accounts that economically reflect what each brought, even if voting stays 1/3), or (c) a **catch-up distribution preference** to the partner who contributed more until the gap closes. Pick the family of mechanism now; the dollars are computed at Phase B.

13.3 Pre-existing assets brought into the pool

At Phase B, any pre-existing marketing, brand, or customer assets a partner brings into the shared pool for the first time are valued as part of the equalization in 13.2 (a buy-in credit to the contributing partner, a royalty to their LLC, or an outright purchase at appraised value). **Decide the family of method now**; compute the number at Phase B.

13.4 What happens to the operating LLCs

Decide the END STATE now:

- **Option 1: Collapse into one.** The three operating LLCs wind down (or merge) into a single merged operating company, and SBG either merges in too or becomes that company's wholly-owned service arm. Cleanest for a future sale.
- **Option 2: Keep them as brands.** The operating LLCs survive as brand/marketing shells, but their job economics flow to the merged pool. More complex, preserves brand equity.

Recommendation: lean toward Option 2 if the partners' established brands remain strategically valuable, but commit the choice to the attorney to structure. The point is to pick the direction now so Phase B is execution, not invention.

14. Conditions precedent (nothing operates until these are true)

It is illegal to operate as a residential contractor in Wisconsin without the required certification and insurance. The good news in this structure: **SBG does not contract with homeowners**, so the heavy contractor-licensing gate sits on the three operating LLCs, each of which is already (or is becoming) its own licensed prime.

14.1 Each operating LLC (per its own jobs)

Each operating LLC must independently hold, for its own jobs:

1. Its **own WI DSPS Dwelling Contractor Certification (entity)** and a linked **Dwelling Contractor Qualifier (individual)**. Credentials do **not** transfer between entities, so each LLC needs its own. Ben's and John's LLCs already operate; **Jim still needs his** (Qualifier course + entity Certification), which gates Jim's LLC self-performing its own jobs.
2. Its **own general liability insurance** (GL is a prerequisite to the Dwelling Contractor Certification).
3. ATCP 110-compliant homeowner contracts, Notice of Right to Cancel where required, lien notices/waivers (Wis. Stat. Ch. 779), and per-job building permits pulled by that LLC.

Until Jim's LLC has its own Certification + Qualifier + GL, Jim's LLC cannot be the prime on a build job in its own name. The phased fulfillment model already in place (CWDB self-performs only cosmetic stain/resurface work that needs no permit; any build/structural job is signed and permitted by a licensed builder) continues to apply to Jim's LLC until Jim is certified.

14.2 SBG-Labor

1. **Workers' compensation insurance** in force (Wis. Stat. ch. 102) before any W-2 crew or partner works a job. This is non-negotiable: SBG-Labor is the employer of record for the crews and partners.
2. **Payroll setup:** federal + WI withholding accounts, WI unemployment insurance registration, payroll processing.

3. **The S-corp election** filed within the deadline (accounting-side decision and timing).
4. The **labor / staffing agreement and the WC / borrowed-servant coordination agreement** signed with each operating LLC (companion file).

14.3 SBG-Equipment

1. **Wisconsin DOR sales-tax registration** for the equipment rentals. Renting tangible equipment to the operating LLCs is a taxable transaction in Wisconsin; SBG-Equipment must register and handle the sales tax on the rental stream (the equipment lease specifies who remits, see the companion file).
2. The **equipment lease** signed with each operating LLC (companion file).

14.4 SBG generally (confirm the no-cert point)

- **SBG likely needs NO Dwelling Contractor Certification.** As a labor and equipment lessor that does not contract with homeowners, does not pull permits, and is not the prime on any job, SBG should fall outside the dwelling-contractor credentialing requirement. **CONFIRM THIS DIRECTLY WITH WI DSPS** before relying on it; if DSPS reads SBG-Labor's role as "furnishing labor for dwelling construction" to require some credential, adjust. Do not assume.
- All three SBG entities formed at WI DFI, EINs obtained, operating agreements signed, separate bank accounts opened.
- The three inter-company agreements drafted, market-priced, and signed (Section 3).

15. Open items / to-do before the attorney drafts

1	Confirm individual-vs-holding-LLC ownership of the SBG entities (Section 1.2 flag)	All three + attorney
2	Confirm SBG-entity name availability + reserve at WI DFI	Jim
3	Set the equal-cash contribution amount per SBG entity	All three + CPA
4	Draft and market-price the three inter-company agreements (companion file)	Jim to coordinate + attorney/CPA
5	Confirm with WI DSPS that SBG (as lessor) needs no Dwelling Contractor Certification (Section 14.4)	Jim
6	Confirm SBG-Equipment WI DOR sales-tax registration for rentals (Section 14.3)	Jim + CPA
7	Wind down and document termination of the old CWDB-to-Ben/John lead-purchase deal (Section 4)	Jim
8	Confirm S-corp election + payroll + WC setup for SBG-Labor (accounting side)	Jim + CPA
9	Decide the Phase B trigger, valuation/equalization family, asset-contribution valuation method, and operating-LLC end state (Section 13). Decide NOW, in calm times	All three + CPA
10	Set the actual dollar thresholds in Section 5 and the valuation methods in Section 7.4 / 13.2	All three + CPA
11	Pick the deadlock backstop (Section 6.2) and life/disability insurance to fund buyouts	All three

12	Engage a licensed Wisconsin business attorney to turn this into binding operating agreements (3 SBG entities) + the 3 inter-company agreements + buy-sell	Jim to coordinate

This document was prepared by AI legal counsel for informational and partner-alignment purposes only. It is a non-binding term sheet, not a contract and not legal advice. It is intended to align Jim, Ben, and John on the SBG shared-services structure and then be handed to a licensed Wisconsin business attorney, who must draft the binding operating agreements for the SBG entities, the three inter-company agreements, and the buy-sell provisions before anyone signs or relies on these terms. Review by a licensed Wisconsin attorney is required before execution.